

make a small clay pot. If your daughter is an aspiring carpenter, help her craft a small wooden box. By enrolling them in the process of creating a special place for their savings, you're underlining the importance of keeping that money safe. By the way, I tend to discourage the more traditional piggy bank. Pigs carry the connotations of sloppiness and laziness, and money awareness takes care. Financially literate adults are prudent and, above all, *active* with their money. I encourage parents to have children design their own Money Bin because you want to get your kids actively engaged with their money from the start.

On the morning of her fifth birthday, have your child bring out the Money Bin. I don't care if she's applied sparkly stickers to a Ziploc bag: ooh and ahh over her creation. Give her a Sharpie and have her write "Meanie Money" on the Bin.

Now you are going to gift her with \$100. This is a lot of money for a five-year-old—if it isn't, you're doing something wrong—but it's not all for her to spend. Sit her down and explain that you will be giving her \$100 every birthday for the next five years, \$90 of which can go into her Meanie Money Bin. Explain to her that meanies aren't bad; they are people who, like Mommy and Daddy, save most of their money and spend very little of it. They're meanies because they *live within their means*. The \$90 of Meanie Money is hers to spend over the next year, if she must—but if she saves it instead, she will earn a much bigger reward a few years down the line. Set the parameters of that reward if you wish: a trip to a theme park, maybe, or a family vacation. The goal is to teach your children that sometimes they will need to make sacrifices until they have saved enough money to afford something they really want.

What does she do with the remaining \$10? This, you can explain, is her Secret 10. For the next five years, she'll be putting 10 percent of her birthday money into her Secret 10 account. This is the savings account you've set up in trust at your bank, as you are her sponsor (and you may need to pad her \$10 a bit, as most banks have a minimum requirement to open a savings account). The account will flip over into your daughter's name the day she turns 18.